

Cumulus Bank

Wealth management from Cumulus Bank



WEALTH MANAGEMENT · RETIREMENT

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PRODUCT BROCHURE · RETIREMENT

Cumulus Traditional IRA

A pre-tax individual retirement account for investors seeking tax-deferred growth and, where eligible, a current-year deduction for contributions under IRC §219.

ACCOUNT TYPE	Traditional Individual Retirement Account (IRC §408)
2026 CONTRIBUTION LIMIT	\$7,000 regular · \$8,000 if age 50+
DEDUCTIBILITY — SINGLE, COVERED	Phase-out \$79,000 – \$89,000 MAGI
DEDUCTIBILITY — MFJ, COVERED	Phase-out \$126,000 – \$146,000 MAGI
ACCOUNT FEE	\$0 for balances $\geq$ \$10,000; \$25 annual otherwise
INVESTMENT MENU	Equities, ETFs, mutual funds, fixed income, CDs
REQUIRED MINIMUM DISTRIBUTIONS	Begin at age 73 (SECURE 2.0)
WITHDRAWAL TAXATION	Ordinary income on pre-tax amounts

AT A GLANCE

Overview

A Traditional IRA is a tax-advantaged individual retirement account established under Section 408 of the Internal Revenue Code. Eligible contributions reduce current-year taxable income, and investment earnings grow tax-deferred until withdrawn. Distributions are taxed as ordinary income; distributions before age 59½ are subject to a 10% additional tax under IRC §72(t) unless a statutory exception applies.

Investment products are not FDIC insured, not bank guaranteed, and may lose value. Your Cumulus advisor will discuss suitability, risk tolerance, time horizon, and tax considerations before you contribute; consult your tax professional regarding your individual situation.

WHY A TRADITIONAL IRA

Key benefits

IMMEDIATE TAX DEDUCTION Immediate tax deduction If you or your spouse are not covered by a workplace retirement plan, all Traditional IRA contributions are deductible. If covered, deductibility is subject to the MAGI phase-outs under IRC §219(g).	TAX-DEFERRED COMPOUNDING Tax-deferred compounding Interest, dividends, and capital gains accumulate without current taxation, allowing the full pre-tax amount to remain invested and compound over your working and retirement years.
CONSOLIDATION VEHICLE Consolidation vehicle A Traditional IRA is the most common destination for rollovers from 401(k), 403(b), and 457(b) plans, permitting consolidation and disciplined allocation under a single investment policy.	OPEN INVESTMENT MENU Open investment menu Choose from equities, ETFs, mutual funds, fixed income, and brokered CDs, or elect discretionary management under Cumulus Managed Advisory Services.
CONVERSION FLEXIBILITY Conversion flexibility Pre-tax Traditional IRA balances may be converted to a Roth IRA at any time; conversions are taxable, but may be advantageous in low-income years or for estate-planning purposes.	ESTATE EFFICIENCY Estate efficiency Beneficiary designations on your IRA pass outside of probate. Non-spouse beneficiaries are subject to the SECURE Act 10-year rule but retain income-tax deferral during the distribution window.

2026 TAX YEAR

Contribution and deduction limits



STATUS	UNDER 50	AGE 50+ (CATCH-UP)	MAGI PHASE-OUT
Single — not covered by workplace plan	\$7,000	\$8,000	No phase-out; fully deductible
Single — covered by workplace plan	\$7,000	\$8,000	\$79,000 – \$89,000
Married filing jointly — both not covered	\$7,000 each	\$8,000 each	No phase-out
MFJ — filer covered, spouse not	\$7,000	\$8,000	\$126,000 – \$146,000
MFJ — filer not covered, spouse covered	\$7,000	\$8,000	\$236,000 – \$246,000
MFJ — both covered	\$7,000 each	\$8,000 each	\$126,000 – \$146,000
Married filing separately — covered	\$7,000	\$8,000	\$0 – \$10,000

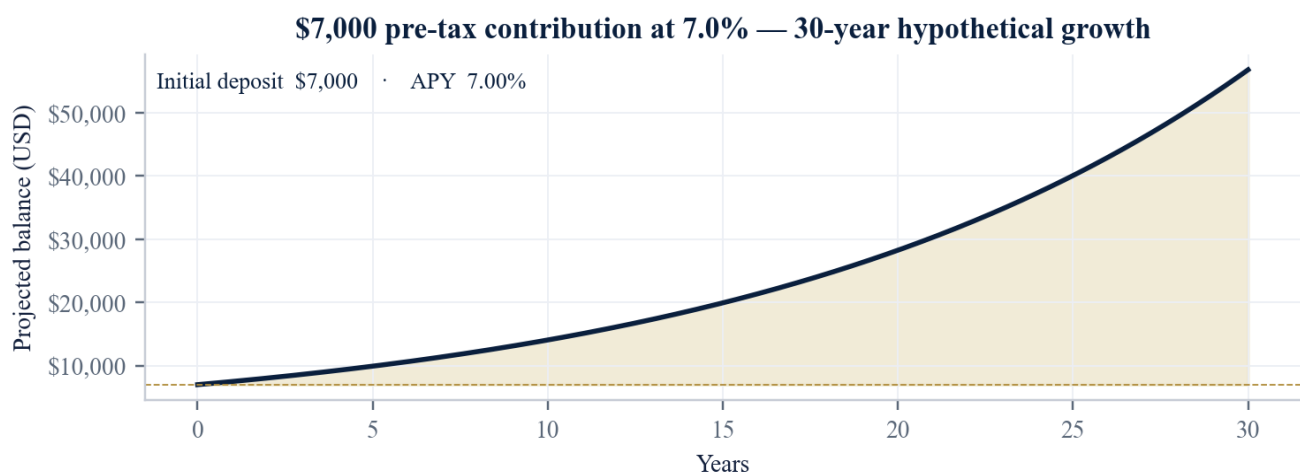
NON-DEDUCTIBLE CONTRIBUTIONS

If you are above the deductibility phase-out, you may still contribute to a Traditional IRA on a non-deductible basis. Non-deductible contributions create tax basis that must be tracked on IRS Form 8606 and will not be taxed again on withdrawal. Many clients use non-deductible contributions in combination with a subsequent Roth conversion (the 'backdoor Roth').

ILLUSTRATIVE GROWTH

Tax-deferred compounding

The chart below illustrates the hypothetical growth of annual \$7,000 Traditional IRA contributions (represented as a single \$7,000 initial contribution for simplicity) compounded at a 7.0% annualized rate over thirty years. The ending balance is pre-tax; withdrawals will be taxed as ordinary income in the year of distribution.



RMD RULES

Required minimum distributions

Traditional IRA owners must begin taking required minimum distributions no later than April 1 of the year following the year in which they reach age 73. Thereafter, an RMD must be taken by December 31 each year. RMDs are calculated using the IRS Uniform Lifetime Table and the prior-year December 31 account balance. Missed RMDs are subject to a 25% excise tax under IRC §4974 — reduced to 10% if the missed distribution is corrected within the applicable two-year correction window established by SECURE 2.0.

AGE MILESTONE	WHAT MUST HAPPEN	AUTHORITY
59½	Distributions are no longer subject to the 10% early-withdrawal penalty; ordinary income tax still applies.	IRC §72(t)
73	Required beginning date (RBD). First RMD must be taken by April 1 of the year following the year you reach age 73.	IRC §401(a)(9); SECURE 2.0 §107
75 (for individuals who reach age 74 after 2032)	RBD shifts to age 75 under SECURE 2.0.	SECURE 2.0 §107
Each year thereafter	Annual RMD based on the IRS Uniform Lifetime Table, by December 31. Missed RMDs incur a 25% excise tax (10% if corrected timely).	IRC §4974

GETTING STARTED

Eligibility and opening

Who may contribute

- Any individual with taxable compensation. (The former age 70½ limit on contributions was repealed by the SECURE Act of 2019.)
- A non-working spouse may contribute on the earned income of a working spouse when filing jointly.
- Deductibility is subject to the MAGI phase-outs shown above when you or your spouse are covered by a workplace plan.
- Contributions for a tax year may be made up to the April 15 federal income tax filing deadline of the following year.

What you will need

- Government-issued photo identification and Social Security Number.
- Beneficiary designations — primary and contingent. IRA beneficiary designations override a will or trust.
- Prior-year income information if you intend to make a contribution attributed to the previous tax year.
- Rollover documentation — a recent account statement and the originating plan's distribution form — if consolidating.

COMMON QUESTIONS

Frequently asked questions



Should I contribute to a Traditional or a Roth IRA?

If you expect to be in a lower marginal tax bracket in retirement, a Traditional IRA is often more tax-efficient: deduct now, pay later. If you expect to be in a higher bracket, a Roth is generally preferable. Many clients contribute to both to build tax diversification. Your Cumulus advisor can model your situation with your tax professional.

What is a rollover, and how do I execute one?

A rollover moves retirement plan assets (for example, from a 401(k)) into an IRA. Direct rollovers (trustee-to-trustee) are preferred: no 20% mandatory withholding and no 60-day window risk. Indirect rollovers, which involve a check payable to the participant, are subject to withholding and the 60-day rollover rule, with only one such rollover permitted per 12-month period (IRC §408(d)(3)(B)).

How are withdrawals taxed?

Distributions of pre-tax contributions and of earnings are taxed as ordinary income in the year received. Distributions of basis from non-deductible contributions are tax-free. The pro-rata rule of IRC §408(d)(2) applies: each distribution is a proportional blend of pre-tax and after-tax amounts across all of your Traditional, SEP, and SIMPLE IRAs.

What happens to my IRA at death?

Your IRA passes by beneficiary designation, outside of probate. A spouse beneficiary may treat the IRA as their own or as an inherited IRA. Non-spouse designated beneficiaries who inherit after 2019 are generally subject to the SECURE Act 10-year rule. 'Eligible designated beneficiaries' (minor children of the owner, disabled or chronically ill individuals, and beneficiaries within 10 years of the owner's age) have additional options.

Can I take distributions before age 59½ without penalty?

Yes, in limited circumstances. Exceptions to the 10% early-withdrawal penalty include substantially equal periodic payments under IRC §72(t)(2)(A)(iv), qualified higher-education expenses, up to \$10,000 for a first-time home purchase, medical expenses exceeding 7.5% of AGI, health-insurance premiums while unemployed, total and permanent disability, and distributions to a beneficiary after the owner's death. Ordinary income tax still applies.

DISCLOSURES & REGULATORY NOTICES

Important disclosures

§ Investment products and advisory services are offered through Cumulus Investment Services, LLC, a registered broker-dealer (member FINRA / SIPC) and an SEC-registered investment adviser, and an affiliate of Cumulus Bank, N.A.

§ Securities and advisory products: NOT FDIC INSURED · NOT BANK GUARANTEED · MAY LOSE VALUE · NOT A DEPOSIT · NOT INSURED BY ANY FEDERAL GOVERNMENT AGENCY.

§ Asset allocation and diversification do not ensure a profit or protect against loss in a declining market. Past performance is not a guarantee of future results.

§ Before investing, carefully consider the investment objectives, risks, charges, and expenses. Request a prospectus or Form ADV Part 2A disclosure brochure from your Cumulus advisor and read it carefully before investing.

§ Traditional IRA eligibility, contribution limits, and deductibility phase-outs are established by the Internal Revenue Service and are subject to annual adjustment. The figures in this brochure reflect illustrative 2026 amounts.

§ Distributions before age 59½ are generally subject to a 10% additional tax under IRC §72(t) in addition to ordinary income tax, unless a statutory exception applies.

§ Missed required minimum distributions are subject to a 25% excise tax under IRC §4974, reduced to 10% if corrected within the applicable two-year correction window under SECURE 2.0.

§ Cumulus does not provide legal or tax advice. Consult your tax professional before establishing, converting, or withdrawing from an individual retirement account.



NEXT STEPS

Speak with a Cumulus wealth advisor

A Cumulus advisor will review your objectives, time horizon, and tax considerations; explain the products and services available to you; and deliver a written proposal. Requests received today are typically returned within one business day.

ADVISOR LINE

954.417.2880

Client Services, Mon–Fri 7:00 a.m. – 9:00 p.m. ET · Sat 8:00 a.m. – 5:00 p.m. ET

ONLINE

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PRIVATE OFFICE

Wealth Management offices are available by appointment. Request a meeting at cumulusbank-demo-bb054209d76d.herokuapp.com/wealth.

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